ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 8

# ECONOMIC AND MANAGEMENT SCIENCES

## PRACTICE EXAM 3

**MARKS: 100** **TIME: 2 hours**

**Covers the Grade 8 year: the economy (types of budgets, PAYE and VAT, the circular flow, standard of living, the labour market, unemployment), financial literacy (the accounting equation, the Cash Receipts and Cash Payments Journals of a trading business, the Bank account in the general ledger, internal control) and entrepreneurship (a company case study, business plans, ethics, market research).**

Written by Academic Central for practice, following the CAPS curriculum for Grade 8. It is not a Department of Basic Education examination paper.

## INSTRUCTIONS AND INFORMATION

1. This question paper consists of FOUR sections: SECTION A (20), SECTION B: The economy (25), SECTION C: Financial literacy (35) and SECTION D: Entrepreneurship (20).
2. Answer ALL the questions.
3. Number your answers exactly as the questions are numbered.
4. Show ALL calculations. A non-programmable calculator may be used.
5. Use a ruler for journals, ledger accounts and tables. Write neatly and legibly.

## SECTION A

## QUESTION 1: MULTIPLE CHOICE

Choose the correct answer. Write only the letter (A–D) next to the question number, e.g. 1.11 B.

1.1 Which of these is NOT a function of the government?

A Making laws
B Collecting taxes
C Deciding what a family eats for supper
D Defending the country

1.2 The tax charged on alcohol and tobacco products is …

A customs duty.
B excise duty.
C income tax.
D estate duty.

1.3 The tax charged on goods imported into South Africa is …

A customs duty.
B excise duty.
C VAT only.
D PAYE.

1.4 In the accounting equation, the bank balance of a business is …

A an asset.
B a liability.
C owner's equity.
D an expense.

1.5 When a business pays R2 000 for advertising, owner's equity …

A increases.
B decreases.
C stays the same.
D doubles.

1.6 A business has assets of R120 000 and liabilities of R30 000. The owner's equity is …

A R150 000
B R120 000
C R90 000
D R30 000

1.7 The "Sundry accounts" column in a journal is used for …

A transactions that do not happen often.
B all cash sales.
C all wages.
D the bank total only.

1.8 A business that sells insurance belongs to the …

A primary sector.
B secondary sector.
C tertiary sector.
D informal sector only.

1.9 The partners in a partnership usually have …

A limited liability.
B unlimited liability.
C no liability.
D liability only for taxes.

1.10 The reward (remuneration) for entrepreneurship is …

A rent. B wages. C interest. D profit.

**(10)**

## QUESTION 2: TRUE OR FALSE

Write TRUE or FALSE next to the question number. If the statement is FALSE, write down the correct word(s) to replace the underlined word(s).

2.1 Police services are an example of a public good. (2)

2.2 The circular flow shows how money, goods and services move between the participants in the economy. (2)

2.3 Wages paid to workers are recorded in the Cash Receipts Journal. (2)

2.4 A loan from a bank increases owner's equity. (2)

2.5 The shares of a private company are sold to the public on the stock exchange. (2)

**(10)**

**TOTAL SECTION A: [20]**

## SECTION B: THE ECONOMY

## QUESTION 3

**3.1** Explain the difference between a balanced budget, a surplus budget and a deficit budget. (3)

**3.2** Thabo earns a gross salary of R15 000 per month. His employer deducts R1 650 PAYE.

3.2.1 What percentage of his salary is deducted as PAYE? (2)

3.2.2 Calculate his net salary (after PAYE). (1)

3.2.3 He buys household goods for R1 150, including 15% VAT. Calculate the amount of VAT he paid. (2)

**3.3** Draw a simple circular flow diagram that shows households, businesses and the government. Label FOUR flows. (4)

**3.4** (a) Name TWO indicators that can be used to measure the standard of living in a country. (b) Why does the average income per person not always show the true standard of living of most people? (4)

**3.5** Explain what happens in the labour market. (2)

**3.6** Give TWO ways in which the government can help to reduce unemployment. (2)

**3.7** (a) Explain why poor people also pay tax, even if they do not earn enough to pay income tax. (b) Some basic foods, such as brown bread and maize meal, are zero-rated for VAT. Why? (3)

**3.8** Give ONE effect that corruption in government has on the services that citizens receive. Explain. (2)

**[25]**

## SECTION C: FINANCIAL LITERACY

## QUESTION 4

**4.1** Copy the table and show the effect of each transaction of Thato's Car Wash on the accounting equation. Use +, − or 0 and show the amounts.

| No. | Transaction | Assets | Owner's equity | Liabilities |
|---|---|---|---|---|
| (a) | Thato increased his capital by depositing R8 000 into the business bank account. | | | |
| (b) | Received R2 500 for washing cars. | | | |
| (c) | Paid R600 for cleaning materials (consumable stores). | | | |
| (d) | Bought a pressure washer (equipment) for R4 200 by EFT. | | | |
| (e) | Paid R1 000 off the loan from the bank. | | | |
| (f) | Thato took R500 from the business for personal use. | | | |

(12)

**4.2** The transactions of Mama Joy's Fruit Stall for July 2026 are given below. Draw the Cash Receipts Journal and the Cash Payments Journal, record the transactions and total the journals.

| Day | Transaction |
|---|---|
| 1 | The owner, J. Mokoena, deposited R10 000 as capital. Issued receipt 1. |
| 2 | Bought fruit (trading stock) from Farm Fresh, R3 200. EFT 1. |
| 4 | Cash sales, R1 850 (cash register roll). |
| 9 | Paid wages, R900. EFT 2. |
| 11 | Cash sales, R2 300 (cash register roll). |
| 16 | Bought more trading stock from Farm Fresh, R2 100. EFT 3. |
| 18 | Received R450 rent from a hawker who uses part of the stall. Issued receipt 2. |
| 22 | Paid rent for the stall to the market, R750. EFT 4. |

CRJ columns: Doc | Day | Details | Bank | Sales | Sundry accounts (Amount, Details).
CPJ columns: Doc | Day | Name of payee | Bank | Trading stock | Wages | Sundry accounts (Amount, Details).

(15)

**4.3** Draw the Bank account in the general ledger for July. Post the totals of the journals, and balance the account at the end of the month. (4)

**4.4** Why do cash sales and trading stock have their own columns in the journals? (2)

**4.5** Give ONE internal control measure that Mama Joy can use to prevent theft of cash. Explain how it helps. (2)

**[35]**

## SECTION D: ENTREPRENEURSHIP

## QUESTION 5

**5.1** Read the case study and answer the questions.

> Three friends, Kabelo, Ayesha and Jonas, started a cell phone repair business called TechFix (Pty) Ltd. They rent a small shop in a shopping centre, employ two technicians and use their savings to buy tools and spare parts.

5.1.1 What form of ownership is TechFix? (1)

5.1.2 Give TWO advantages of this form of ownership. (2)

5.1.3 In which economic sector does TechFix operate? (1)

5.1.4 Give an example from the case study of each factor of production: natural resources, labour, capital and entrepreneurship. (4)

5.1.5 Suggest TWO ways in which TechFix can advertise its services. (2)

**5.2** Name FOUR sections of a business plan. (4)

**5.3** Explain how entrepreneurs help the economy to grow. (2)

**5.4** Give TWO examples of ethical (honest and fair) behaviour by a business. (2)

**5.5** Why is it risky to start a business without doing market research? (2)

**[20]**

**TOTAL: 100**

**END OF QUESTION PAPER**